Strategic Management

What is Strategic Management?

- Strategic management is what managers do to develop an organization's strategies.
- Strategic management involves setting goals, procedures, and objectives in order to make a company or organization more competitive (aggressive).
- It is an important task that involves all basic management functions.
- Strategies are means to achieve organization goals, means how organization do its business and how to satisfy its goals.

Strategic Management Process

- There are six steps in strategic management process.

1. **Identifying the Organization Current Mission, Goal, and Strategies.**

    - Every organization needs a Mission statement. Mission statement is a statement of purpose, why organization exist and what is it purpose. Look at the some example of mission statements:
    - Wal-Mart: "**Save Money Live Better**". According to Wal-Mart our purpose is to provide opportunity to poor people to shop like rich.
    - Face book: "**Social utility that connect you with people around you**"
    - It is important for managers to break their mission statement into company current goals and objective and make strategies to achieve them.

2. **Doing an External Analysis**
    - Manager must do analysis of external factors or environment. These external factors or environments refer to economical, political, technological, social culture, globalization and demographic etc.

- These factors are uncontrollable factors, because organization can't control them.
- These factors can be an opportunity or threat to the management of organization.

3. **Doing an Internal Analysis**

- Internal analysis provides important information about organization's "capabilities" and "resources" which are important to run the organizations and to produce product and services.
- Internal analysis identifies organization strength and weakness, how each department is functioning and what improvement they need.
- The combined external and internal analysis of organization is known as SWOT Analysis.

4. Formulating Strategies

- This is a stage in which manager formulate organization's strategies.
- While formulating strategies, Manager should consider external environment (political, technological, culture) and internal environment (resources and capabilities), so strategies can help in proper way to achieve organization goals and objectives.

5. Implementing Strategies.

- This is fifth stage of strategic management process, which is known as action stage. Once strategies are formulated, they must be implemented.

6. Evaluating Results

- Final step in strategic management process is evaluating results. How much strategies were effective in achieving goals.

Corporate Strategy

- Corporation is a large company or group of companies authorized to act as a single unit and entity.

Corporate Strategy

- An organizational strategy that specifies what business a company is in or what to be in and what it want to do with those businesses.
- There are three types of corporate strategies.

i. Growth Strategies

- Strategy that is used when an organization want to expand the number of markets or product offered either through its current or new business.

ii. Stability Strategy

- A corporation strategy in which organization continues to do what it is currently doing.

iii. Renewal Strategy

- A corporation strategy designed to address declining performance. Manager need to develop this strategy when company is in trouble.